

Diwali

SPECIAL REPORT



Technical



2023





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Nifty 50 (CMP: 19406.70)

Weekly Chart



TradingView

Source: Trading View

Rationale:

The calendar year has been eventful, with both sides (Bulls & Bears) sharing equal playtime. In the first quarter of the calendar year, prices were under pressure, testing levels around **16800**. However, signs of easing interest rates, a cool-down in Russia-Ukraine tensions, and high expectations from the G20 summit fueled a strong rally, pushing the benchmark past the psychological 20000 milestone for the first time. While it appeared to many participants that the bullish trend would continue until the end of the year, fresh geopolitical tensions emerged with the Israel-Palestine conflict, unsettling market sentiment. Nifty is now back around **19300**, closely monitoring global developments, up approximately 10% since the last Diwali and about 7% for the current calendar year.

Now, if we observe the above-mentioned price action on charts, the higher time frame charts continue to look positive, but the shorter-term daily charts show a distorted pattern with prices forming lower highs and lower lows. Given ongoing global uncertainty, it's advisable to avoid complacent long bets, especially at higher levels, until the scenario changes. As we enter an eventful year, attention will be on factors like curbing rising inflation impacting interest rates, geopolitical tensions, and, most importantly, general elections. Therefore, the next few months are expected to remain eventful. The strategy moving forward should involve taking advantage of significant corrections and selecting the right themes to add long bets, as positive outcomes from the aforementioned scenarios can trigger substantial returns. In this context, support levels to watch for include **19000** as immediate support and a strong base around **18400-18500**, coinciding with the 200SMA on the daily chart, the 50SMA on the weekly chart, and key retracement levels. On the flip side, immediate resistance is seen around 19600, marked by a descending trendline formed by connecting two lower highs, followed by key resistance at **19850**, a previous swing high. Only above these key levels will the technical formations turn positive and potentially initiate a broad-based rally, pushing the index beyond the all-time high of **20200**.

While frontline stocks may have delivered decent returns throughout the year, the standout highlight has been the performance of mid-cap and small-cap stocks. The Nifty Midcap 100 Index surged over 40% from its March swing lows, while the Nifty Smallcap 100 Index gained around 50%. While these gains are attractive to investors, such sustained rallies for multiple years can be challenging. Traders are therefore advised to be selective in their approach going ahead and should focus on themes that are poised for outperformance. In our view, the IT, REALTY, PHARMA, and Energy sectors are the ones to watch, as they exhibit strength and are likely to outperform.

With that, we take this opportunity to extend our best wishes for a happy and prosperous Diwali to all.



BANKNIFTY (CMP: 43737.90)

Daily Chart



TradingView

Source: Trading View

Rationale:

The Bank Nifty index has been volatile in the calendar year 2023 yet has made a subdued change on a YoY basis (till date). The merge of the heavyweights 'HDFC Twins', rising concerns over inflation, and geopolitical concerns in the second half of the year had kept traders' fraternity on their toes. On the net, the percentage change might be insignificant, but the traction has definitely spread across the sector with stock-centric actions. As we enter the season of festivities, a strong relevance will be seen in the BFSI space, being the backbone of the economy.

On the macro front, there have been a lot of activities that could be seen in our market. Especially how the apex body 'RBI' acted at the policy meeting to tackle inflation and its preparedness to work if the situation merits. For now, the market hopes for a pleasant development in the equity space as the consumption index is likely to surge during the festivities. Also, looking at the historical trend, our markets tend to witness buoyancy at year-end.

Technically, it has been a roller coaster ride for the Bank Nifty index as it soared to clock new highs and plunged below the 200 SMA, eroding nearly 9 percent in recent times. Of-lately, some resurgence could be seen, but conviction is still lacking in the recovery. Hence, one needs to maintain caution as we are still not out of the woods. Also, with the ongoing scenario, the possibility to test 42000-41500 remains intact in the short run. However, from a longer-term perspective, global stability and improved macroeconomic data are likely to favor the primary trend. As far as levels are concerned, the broader range of support lies around 42500-42000, followed by 41500 and a series of resistances around 44500-45500. In continuation, any breach above the mentioned resistance could provide a strong thrust in the up move, and the index could be seen testing its lifetime highs in no period and could even soar to uncharted territory by the end of the financial year.



GODREJPROP (CMP: 1764.60)

Weekly Chart



Source: Trading View

Rationale:

- The entire real estate sector has been in buzz for the last couple of weeks. Notably, the Nifty Realty sector has substantially outperformed as compared to the benchmark index in not-so-conducive market conditions.
- This prominent stock in this sector emerged as a standout performer and technically has given a strong price and volume breakout.
- On the weekly chart, the stock has exhibited a multi-month price breakout by closing above the 1770 level, resembling a 'Cup N handle' breakout pattern.
- This breakout is accompanied by a strong bullish candlestick pattern.
- Additionally, various indicators are in the positive zone, providing support for a buy recommendation.
- We anticipate that this outperformance will persist, and as such, we recommend a buy at current levels and on dips towards Rs. 1720 for a near-term target of Rs 2150, with a stop loss at Rs. 1547.



INFY (CMP: 1404.30)

Weekly Chart



Source: Trading View

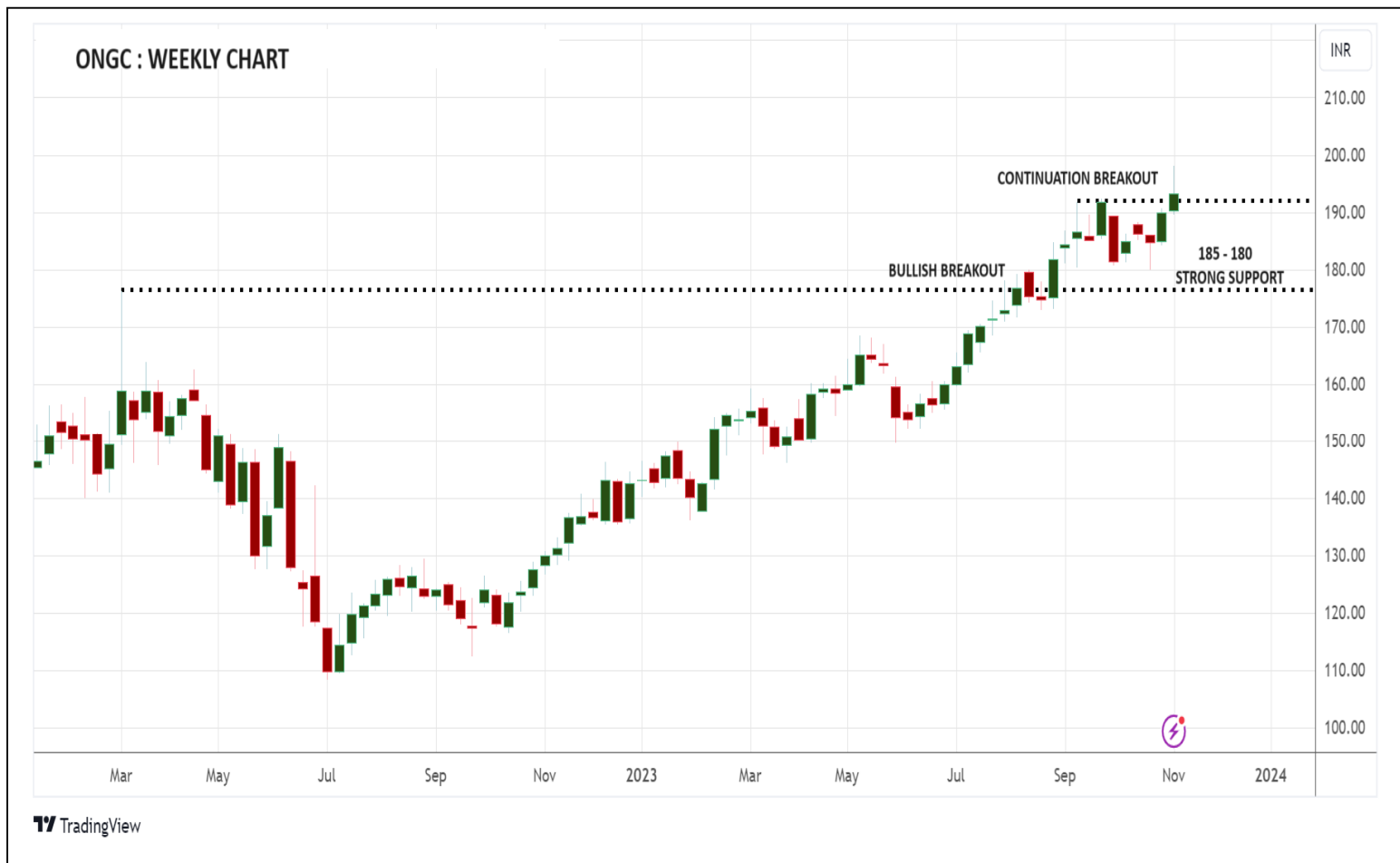
Rationale:

- The entire IT space is undergoing the toughest phase in last two decades. However, in our sense, most of the pain is already done and we are in the last phase of this long corrective mode.
- In such cases, time-wise projection cannot be done; but price-wise it appears to be attractive levels for the IT giant 'INFOSYS'.
- This bellwether counter has precisely completed its 50% retracement and is in process of forming a strong base in the vicinity of 1400-1300.
- We recommend buying from current level to a decline up to 1360 for a medium term target of Rs.1595 and Stop loss to be placed at Rs.1259.



ONGC (CMP: 193.20)

Weekly Chart



Source: Trading View

Rationale:

- ONGC has seen a significant upmove in the current calendar year, outperforming the benchmark with a humongous move of nearly 40 percent YoY.
- The stock comfortably hovers above all its EMAs on the daily time frame, maintaining the cycle of higher highs – higher lows.
- The technical indicators are very much in line with the robust move and are complementing the development.
- Being an index counter and having an outlier performance, we expect a continuation of the primary trend.
- Hence recommend BUY in tranches from 190-180 zone, keeping a stop loss of 160 for a potential upside of 232.



RAMCOCEM (CMP: 1001.30)

Daily Chart



Source: Trading View

Rationale:

- With the Central Government's focus on extensive Infrastructure development and India- based manufacturing; one sector that stands to benefit the most is the Cements industry.
- Ramco has proven to be the strongest stock amongst its peers, maintaining its primary uptrend as indicated by the formation of higher highs and lows.
- The stock recently experienced an increase in volume, when it broke above the 820 level, driven by bullish Head and shoulder technical pattern.
- The stock also trades comfortably, above its major EMA's (50 & 200), indicating strong momentum tailwinds.
- The weekly RSI-smoothened indicator for the stock is on the verge of crossing 70, which is signalling significant bullishness.
- Keeping in mind, the above-mentioned factors. We would like to recommend a buy on Ramco Cements between 970-1008, with a Stop loss of 918 and Target of 1150.

*All prices are as on NSE closing on 07.11.2023



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